

Downward Breakouts

	Bull Market	Bear Market
Reversal or continuation	Short-term bearish continuation	Short-term bearish continuation
Performance rank	10 out of 36	13 out of 19
Breakeven failure rate	17%	10%
Average drop	16%	22%
Volume trend	Upward	Upward
Pullbacks	66%	61%
Percentage meeting price target	29%	23%

This chapter completes the four scallop variations: ascending, descending, and their inverted counterparts. The descending and inverted scallop looks like an upside-down J, and price typically reaches the ultimate low in less than 2 months. It is a bearish pattern, meaning that price breaks out downward most often and continues lower.

As if this pattern wore glasses, the pattern has trouble seeing the price target, with less than a third finding the bull's-eye. The low success rate suggests price may not decline nearly as far as you hope.

When several scallops appear in the same downward price trend in a bull market, the scallops tend to get narrower and shorter as they appear over time. Thus, if you are considering trading a narrow or short scallop that appears after price has been trending down, do so with caution. The scallop may signal an approaching trend change.

Tour

What does a descending and inverted scallop look like? [Figure 60.1](#) shows a typical example. Price leading to the pattern trends downward and then bumps up (from A to B) and rounds over, forming an inverted bowl. After that, price drops, usually in a sharp, straight-line decline like that shown from B to C.